Project 1 Edition A - Coherent Corp.

Valuation date: September 1, 2026
Company: Coherent Corp.
Ticker: COHR (NYSE)
Decision user: The fund's investment committee
Decision: Whether the fund should initiate an investment position in Coherent Corp.

Initial thesis: Watch / defer

Do not initiate a position yet. Coherent reported strong revenue growth, a substantial earnings recovery, and particularly strong demand from AI-datacenter customers. However, the current evidence does not establish that the shares are attractively valued as of the valuation date. Fiscal 2026 operating cash flow also fell sharply while capital expenditures and inventory increased substantially. The company should remain on the watchlist until its market valuation, normalized cash-generation capacity, competitive position, and customer concentration are researched.

This is an initial research conclusion, not a final investment recommendation.

Known evidence and sources

Unless noted otherwise, financial amounts below come from Coherent's Form 10-K for the fiscal year ended June 30, 2026. The supplied PDF was incorrectly named as an Intuitive Surgical filing, but the filing itself identifies Coherent Corp. as the registrant.

- Coherent generated fiscal 2026 revenue of **$7.118 billion**, an increase of approximately 23% from $5.810 billion in fiscal 2025. Source: Consolidated Statements of Earnings, supplied 10-K PDF p. 98.
- Datacenter & Communications revenue increased **40% to $5.275 billion**, while segment profit increased 47% to $1.330 billion. Management primarily attributed this growth to AI-datacenter demand, especially transceivers, as well as communications volumes. Source: segment discussion, PDF p. 78.
- Gross margin was approximately **37.5%**, and calculated operating margin was approximately **12.6%**. Sources: Consolidated Statements of Earnings, PDF p. 98; calculations using reported figures.
- Net earnings attributable to Coherent were **$805 million**, and diluted EPS was **$4.12**. Sources: Consolidated Statements of Earnings, PDF p. 98; EPS reconciliation, pp. 151-152.
- Cash and cash equivalents were **$1.162 billion**, short-term investments were **$825 million**, and total debt was **$3.222 billion** at June 30, 2026. Sources: Consolidated Balance Sheets, PDF p. 96; debt footnote, p. 122.
- The current ratio was approximately **2.43x**, indicating adequate reported short-term asset coverage of current liabilities. Source: calculation from the balance sheet on PDF p. 96.
- Operating cash flow was only **$80 million**, while additions to property, plant, and equipment were **$1.103 billion**. Simple free cash flow was therefore approximately **negative $1.023 billion**. Source: liquidity discussion, PDF p. 83; calculation using reported figures.
- Inventory increased from **$1.438 billion to $2.581 billion**. Source: Consolidated Balance Sheets, PDF p. 96.
- Coherent employed approximately **51,478 people** at June 30, 2026. Source: business discussion, PDF p. 11.
- The filing reports two customers that each generated more than 10% of fiscal 2026 revenue, but the filing excerpt reviewed does not identify them by name. Source: business discussion, PDF p. 19.

Primary filing source: Coherent Corp. FY2026 Form 10-K, accession number 0000820318-26-000020.

Local source analysis: `IntuitiveSurgery_10-K_filing_data_analysis_9.1.2026.md`.

Synthetic enterprise-to-equity bridge check

Equity value represents the market value attributable to common shareholders. Enterprise value approximates the value of the operating business attributable to all capital providers. It is not simply the amount paid to shareholders in an acquisition.

The bridge is:

> Enterprise value = Equity value + Debt + Preferred stock + Noncontrolling interests - Cash and cash-like investments

Using Coherent's June 30, 2026 balance-sheet amounts:

> Enterprise value = Equity value + $3,222.224m debt + $0 preferred stock + $334.705m noncontrolling interests - $1,162.018m cash - $825.000m short-term investments

> **Enterprise value = Equity value + $1,569.911 million**

The reverse bridge is:

> **Equity value = Enterprise value - $1,569.911 million**

The arithmetic checks. A dated market capitalization or enterprise value is still required to calculate the other absolute value. This treatment assumes the full $825 million of short-term investments is excess cash-like value and that no additional debt-like or non-operating adjustments are required.

Consequential assumptions

- The relevant decision is whether to initiate a position for the fund, not merely whether Coherent passes a preliminary personal-investing screen.
- September 1, 2026 is the valuation date, but the initial evidence is primarily based on financial information through June 30, 2026.
- Short-term investments are treated as cash-like in the enterprise-value bridge.
- Reported fiscal 2026 earnings are not automatically assumed to represent normalized earnings because they include a $124 million gain on the sale of a business and other potentially nonrecurring items.
- Negative fiscal 2026 free cash flow may reflect growth investment rather than permanent deterioration, but this must be demonstrated rather than assumed.
- AI-datacenter demand can remain an important growth driver, but recent growth is not assumed to continue at 40% indefinitely.
- Small- and medium-sized companies may offer greater growth potential, but smaller size does not by itself mean a company is inexpensive or lower risk.
- No P/E, PEG, price-to-sales, or enterprise-value multiple is treated as known until dated market data and a defensible growth estimate are obtained.

Important unknowns

- COHR's share price, market capitalization, and enterprise value on September 1, 2026.
- Valuation multiples relative to appropriate photonics, optical-networking, semiconductor-component, and industrial-laser peers.
- A defensible normalized EPS and free-cash-flow estimate after adjusting for divestitures, financing items, and nonrecurring gains and charges.
- The expected return and timing of the company's large capacity investments.
- Whether the inventory increase reflects well-supported customer demand, deliberate capacity preparation, supply-chain protection, or potential excess stock.
- The durability of AI-datacenter demand, Coherent's market share, product differentiation, pricing power, and exposure to technology substitution.
- The identities, economics, and durability of the customers responsible for major revenue concentration.
- Management's medium-term capital-expenditure, working-capital, margin, and debt-reduction plans.
- Verified insider open-market purchases, excluding grants, option exercises, gifts, and other non-discretionary transactions.

- Key legal, geopolitical, export-control, supply-chain, currency, and customer-concentration risks.
- Whether prospective returns are attractive relative to the S&P 500, bonds, and comparable companies after considering downside risk.

Research plan

1. Obtain COHR's closing share price and market capitalization on September 1, 2026, calculate enterprise value using the bridge above, and document the timestamp and source.
2. Normalize fiscal 2026 earnings, EBIT, EBITDA, and free cash flow by separating continuing operating performance from divestiture gains, restructuring, impairment, and other unusual items.
3. Build a three- to five-year historical analysis of revenue, margins, EPS, operating cash flow, capital expenditures, free cash flow, inventory, debt, and returns on invested capital.
4. Select a transparent peer group and compare P/E, PEG, EV/revenue, EV/EBITDA, free-cash-flow yield, growth, margins, leverage, and capital intensity using consistent dates and definitions.
5. Review earnings calls, investor materials, and segment disclosures to test AI-datacenter demand, pricing, customer concentration, capacity commitments, inventory quality, and expected investment returns.
6. Review SEC Forms 4 for verified insider open-market purchases and distinguish them from compensation-related transactions.
7. Construct base, upside, and downside cases using explicit revenue-growth, margin, capital-expenditure, working-capital, and valuation assumptions.
8. Estimate expected return and downside under each case, compare the result with relevant alternatives, and return to the investment committee with an initiate, continue-to-watch, or reject recommendation.

Partner-generated falsification question

Partner question: Why did you include a 15% weight for company size in your company screening?

Nicolas's answer: I emphasize small- and medium-sized companies because they may have greater potential to grow and increase in value. They may also trade at lower valuations, although company size alone does not guarantee that a stock is inexpensive.

The partner generated the question only. Nicolas supplied the answer.